DEFERRED TAX ASSETS AND LIABILITIES

Learning Outcome

- explain how deferred tax liabilities and assets are created and the factors that determine how a company's deferred tax liabilities and assets should be treated for the purposes of financial analysis

Deferred tax assets and liabilities arise from temporary differences in accounting profit and taxable income. Deferred tax assets represent taxes that have been paid (or often the carrying forward of losses from previous periods) but have not yet been recognized on the income statement. Deferred tax liabilities occur when financial accounting income tax expense is greater than regulatory income tax expense. At the end of each reporting period, deferred tax assets and liabilities are recalculated by comparing the tax bases and carrying amounts of the balance sheet items. The changes in deferred tax assets and liabilities are added to income tax payable to determine the company's income tax expense (or credit) as it is reported on the income statement.

If statutory tax rates change, the recorded value of a deferred tax asset or deferred tax liability would also change. For example, assume a tax authority reduces the statutory corporate tax rate from 35 percent to 21 percent. Because the future tax benefit would be reduced, the recorded value of a deferred tax asset would decrease. Similarly, because the amount of a future tax obligation decreases, the value of a corresponding deferred tax liability would also decrease.

Realizability of Deferred Tax Assets

Assume Pinto Construction (a hypothetical company) depreciates equipment on a straight-line basis of 10 percent per year. The tax authorities allow depreciation of 15 percent per year. At the end of the fiscal year, the carrying amount of the equipment for accounting purposes would be greater than the tax base of the equipment thus resulting in a temporary difference. A deferred tax liability may be created only if the company expects to be able to realize the economic benefit of the deferred tax liability in the future. In this example, the equipment is used in the core business of Pinto Construction. If the company is a going concern and has stable earnings, there should be no doubt that future economic benefits will result from the equipment, and it would be appropriate to create the deferred tax item.

If, however, it were doubtful that future economic benefits will be realized from a temporary difference (i.e., if Pinto Construction was being liquidated), the temporary difference will not lead to recognition of a deferred tax asset. If a deferred tax asset was recognized previously, but there was sufficient doubt about the economic benefits being realized, then, under IFRS, an existing deferred tax asset would be reversed. Under US GAAP, a valuation allowance would be established to reduce the amount of the deferred tax asset to the amount that is more likely than not to be realized. In assessing future economic benefits, much is left to the discretion of management in assessing the temporary differences and the issue of future economic benefits.

EXAMPLE 3

Reston Partners

The information in Exhibit 4 pertains to a hypothetical company, Reston Partners.

Reston Partners Consolidated Income Statement

Period Ending 31 March	Year 3	Year 2	Year 1
Revenue	GBP40,000	GBP30,000	GBP25,000
Other net gains	2,000	0	0
Changes in inventories of finished goods and work in progress	400	180	200
Raw materials and consumables used	(5,700)	(4,000)	(8,000)
Depreciation expense	(2,000)	(2,000)	(2,000)
Other expenses	(6,000)	(5,900)	(4,500)
Interest expense	(2,000)	(3,000)	(6,000)
Profit before tax	GBP26,700	GBP15,280	GBP4,700

The financial performance and accounting profit of Reston Partners on this income statement is based on accounting principles appropriate for the jurisdiction in which Reston Partners operates. The principles used to calculate accounting profit (profit before tax) may differ from the principles applied for tax purposes (the calculation of taxable income). For illustrative purposes, however, assume that all income and expenses on the income statement are treated identically for tax and accounting purposes *except* depreciation.

The depreciation is related to equipment owned by Reston Partners. For simplicity, assume that the equipment was purchased at the beginning of Year 1. Depreciation should thus be calculated and expensed for the full year. Assume that accounting standards permit equipment to be depreciated on a straight-line basis over a 10-year period, whereas the tax standards in the jurisdiction specify that equipment should be depreciated on a straight-line basis over a seven-year period. For simplicity, assume a salvage value of GBP0 at the end of the equipment's useful life. Both methods will result in the full depreciation of the asset over the respective tax or accounting life.

The equipment was originally purchased for GBP20,000. In accordance with accounting standards, over the next 10 years the company will recognize annual depreciation of GBP2,000 (GBP20,000 ÷ 10) as an expense on its income statement and for the determination of accounting profit. For tax purposes, however, the company will recognize GBP2,857 (GBP20,000 ÷ 7) in depreciation each year. Each fiscal year the depreciation expense related to the use of the equipment will, therefore, differ for tax and accounting purposes (tax base vs. carrying amount), resulting in a difference between accounting profit and taxable income.

The previous income statement reflects accounting profit (depreciation at GBP2,000 per year). Exhibit 5 shows the taxable income for each fiscal year.

Exhibit 5:

Taxable Income (British pound millions)

Taxable Income	Year 3	Year 2	Year 1
Revenue	GBP40,000	GBP30,000	GBP25,000
Other net gains	2,000	0	0
Changes in inventories of finished goods and work in progress	400	180	200
Raw materials and consumables used	(5,700)	(4,000)	(8,000)
Depreciation expense	(2,857)	(2,857)	(2,857)
Other expenses	(6,000)	(5,900)	(4,500)
Interest expense	(2,000)	(3,000)	(6,000)

The carrying amount and tax base for the equipment is shown in Exhibit 6:

Exhibit 6:

Tax Base for Equipment (British pound millions)

	Year 3	Year 2	Year 1
Equipment value for accounting purposes (*carrying amount*) (depreciation of GBP2,000/year)	GBP14,000	GBP16,000	GBP18,000
Equipment value for tax purposes (*tax base*) (depreciation of GBP2,857/year)	GBP11,429	GBP14,286	GBP17,143
Difference	GBP2,571	GBP1,714	GBP857

At each balance sheet date, the tax base and carrying amount of all assets and liabilities must be determined. The income tax payable by Reston Partners will be based on the taxable income of each fiscal year. If a tax rate of 30 percent is assumed, then the income taxes payable for years 1, 2, and 3 are GBP1,153 (30% × 3,843), GBP4,327 (30% × 14,423), and GBP7,753 (30% × 25,843), respectively.

Remember, though, that if the tax obligation is calculated based on accounting profits, it will differ because of the differences between the tax base and the carrying amount of equipment. The difference in each fiscal year is reflected in the table above. In each fiscal year the carrying amount of the equipment exceeds its tax base. For tax purposes, therefore, the asset tax base is less than its carrying value under financial accounting principles. The difference results in a deferred tax liability as shown in Exhibit 7.

Exhibit 7:

Deferred Tax Liability (British pound millions)

	Year 3	Year 2	Year 1
Deferred tax liability	**GBP771**	**GBP514**	**GBP257**
(Difference between tax base and carrying amount) × tax rate			
Year 1: GBP(18,000 − 17,143) × 30 percent = 257			
Year 2: GBP(16,000 − 14,286) × 30 percent = 514			
Year 3: GBP(14,000 − 11,429) × 30 percent = 771			

The comparison of the tax base and carrying amount of equipment shows what the deferred tax liability should be on a particular balance sheet date. In each fiscal year, only the change in the deferred tax liability should be included in the calculation of the income tax expense reported on the income statement prepared for accounting purposes.

On the income statement, the company's income tax expense will be the sum of change in the deferred tax liability and the income tax payable.

Exhibit 8:

Deferred Tax Liability (British pound millions)

	Year 3	Year 2	Year 1
Income tax payable (based on tax accounting)	GBP7,753	GBP4,327	GBP1,153

Income tax (based on financial accounting)	GBP8,010	GBP4,584	GBP1,410

Note that because the different treatment of depreciation is a temporary difference, the income tax on the income statement is 30 percent of the accounting profit, although only a part is income tax payable and the rest is a deferred tax liability.

The consolidated income statement of Reston Partners including income tax is presented in Exhibit 9:

Exhibit 9:

Reston Partners Consolidated Income Statement (British pound millions)

Period Ending 31 March	Year 3	Year 2	Year 1
Revenue	GBP40,000	GBP30,000	GBP25,000
Other net gains	2,000	0	0
Changes in inventories of finished goods and work in progress	400	180	200
Raw materials and consumables used	(5,700)	(4,000)	(8,000)
Depreciation expense	(2,000)	(2,000)	(2,000)
Other expenses	(6,000)	(5,900)	(4,500)
Interest expense	(2,000)	(3,000)	(6,000)
Profit before tax	GBP26,700	GBP15,280	GBP4,700
Income tax	(8,010)	(4,584)	(1,410)
Profit after tax	GBP18,690	GBP10,696	GBP3,290

Any amount paid to the tax authorities will reduce the liability for income tax payable and be reflected on the statement of cash flows of the company.

Question Set

1. Using the straight-line method of depreciation for reporting purposes and accelerated depreciation for tax purposes would *most likely* result in a:

A. deferred tax asset.
B. valuation allowance.
C. temporary difference.

Hide Solution

Solution:

C is correct. Because the differences between tax and financial accounting will correct over time, the resulting deferred tax liability, for which the expense was charged to the income statement but the tax authority has not yet been paid, will be a temporary difference. A valuation allowance would only arise if there was doubt over the company's ability to earn sufficient income in the future to require paying the tax.

2. Income tax expense reported on a company's income statement equals taxes payable, plus the net increase in:

A. deferred tax assets and deferred tax liabilities.
B. deferred tax assets, less the net increase in deferred tax liabilities.
C. deferred tax liabilities, less the net increase in deferred tax assets.

C is correct. Higher reported tax expense relative to taxes paid will increase the deferred tax liability, whereas lower reported tax expense relative to taxes paid increases the deferred tax asset.

3. Analysts should treat deferred tax liabilities that are expected to reverse as:

A. equity.
B. liabilities.
C. neither liabilities nor equity.

Hide Solution

Solution:

B is correct. If the liability is expected to reverse (and thus require a cash tax payment) the deferred tax represents a future liability.

4. When accounting standards require an asset to be expensed immediately but tax rules require the item to be capitalized and amortized, the company will *most likely* record:

A. a deferred tax asset.
B. a deferred tax liability.
C. no deferred tax asset or liability.

Hide Solution

Solution:

A is correct. The capitalization will result in an asset with a positive tax base and zero carrying value. The amortization means the difference is temporary. Because there is a temporary difference on an asset resulting in a higher tax base than carrying value, a deferred tax asset is created.

5. A company incurs a capital expenditure that may be amortized over five years for accounting purposes, but over four years for tax purposes. The company will *most likely* record:

A. a deferred tax asset.
B. a deferred tax liability.
C. no deferred tax asset or liability.

Hide Solution

Solution:

B is correct. The difference is temporary, and the tax base will be lower (because of more rapid amortization) than the carrying value of the asset. The result will be a deferred tax liability.

6. A company receives advance payments from customers that are immediately taxable but will not be recognized for accounting purposes until the company fulfills its obligation. The company will *most likely* record:

A. a deferred tax asset.
B. a deferred tax liability.
C. no deferred tax asset or liability.

Hide Solution

Solution:

A is correct. The advances represent a liability for the company. The carrying value of the liability exceeds the tax base (which is now zero). A deferred tax asset arises when the carrying value of a liability exceeds its tax base.

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The tax effects of temporary differences that give rise to deferred tax assets and liabilities are as follows (US dollar thousands):

Exhibit 10: Tax Assets and Liabilities

	Year 3	Year 2
Deferred tax assets:		
Accrued expenses	USD8,613	USD7,927
Tax credit and net operating loss carryforwards	2,288	2,554
LIFO and inventory reserves	5,286	4,327
Other	2,664	2,109
Deferred tax assets	18,851	16,917
Valuation allowance	(1,245)	(1,360)
Net deferred tax assets	USD17,606	USD15,557
Deferred tax liabilities:		
Depreciation and amortization	(USD27,338)	(USD29,313)
Compensation and retirement plans	(3,831)	(8,963)
Other	(1,470)	(764)
Deferred tax liabilities	(32,639)	(39,040)
Net deferred tax liability	(USD15,033)	(USD23,483)

7. A reduction in the statutory tax rate would *most likely* benefit the company's:

A. income statement and balance sheet.
B. income statement but not the balance sheet.
C. balance sheet but not the income statement.

Hide Solution

Solution:

A is correct. A lower tax rate would increase net income on the income statement, and because the company has a net deferred tax liability, the net liability position on the balance sheet would also improve (be smaller).

8. If the valuation allowance had been the same in Year 3 as it was in Year 2, the company would have reported USD115 *higher*:

A. net income.
B. deferred tax assets.
C. income tax expense.

Hide Solution

Solution:

C is correct. The reduction in the valuation allowance resulted in a corresponding reduction in the income tax provision.

9. Relative to the provision for income taxes in Year 3, the company's cash tax payments were:

A. lower.
B. higher.
C. the same.

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Solution:

Year 3 the company also paid taxes that had been deferred in prior periods.

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Discussion

What do you want to discuss... (required)

BN

A deferred tax asset has been previously recognized. At the current balance sheet date, the criteria for economic benefits are not met but the tax differences are still expected to be temporary. As a result:

A.the existing deferred tax asset should be reversed.

B.a valuation allowance account should be established.

C.the existing deferred tax asset should be reclassified as equity.

The above question is from practice questions. The answer given is A. The correct answer ought to be B. Option A refers to IFRS system when the DTA would be reversed. But a valuation Allowance helps to offset partial differences (the criteria for economic benefits are not met but the tax differences are still expected to be temporary.) So , correct answer has to be B

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SV

Enigma kk uses straight line depreciation in its accounts while using accelerated depreciation for tax purposes. For both financial and tax reporting, the company assumes a five year useful economic life and zero residual value. In the current year, accounting depreciation is $10,000,000 and tax allowable depreciation is $8,000,000. Which of the following statements relating to the impact of depreciation in the current year is most accurate. The given statements are: 1) DTL will increase, 2) the tax expense will be greater than tax payable, 3) Carrying value of asset is greater than the tax base. Which of the statements is correct? I think all three are incorrect but the correct answer according to practice questions is option 3. Please can you explain how?

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JL

Hello All, wouldn't Pinto Construction record a defered tax liability, not an asset since equipment is a BS asset and its carrying > tax base?

Cheers.

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